

asset also came with one billion tonnes of limestone), said the sea route will be used to move cement from the plant in Gujarat's Kutch region to other parts of the state in addition to Maharashtra, Karnataka and Kerala. "There is a clear synergy here, and we want to be the lowest-cost cement supplier in these markets."

TAKING ON THE LEADER

Adani's aggression in the sector is unsurprising, given that he is coming from behind. Setting up a business from scratch would have taken time (the thumb rule is ₹750-800 crore for a one million tonne plant), increased supply, and put pressure on prices. Plus, he is dealing with a player who has been around for over four decades.

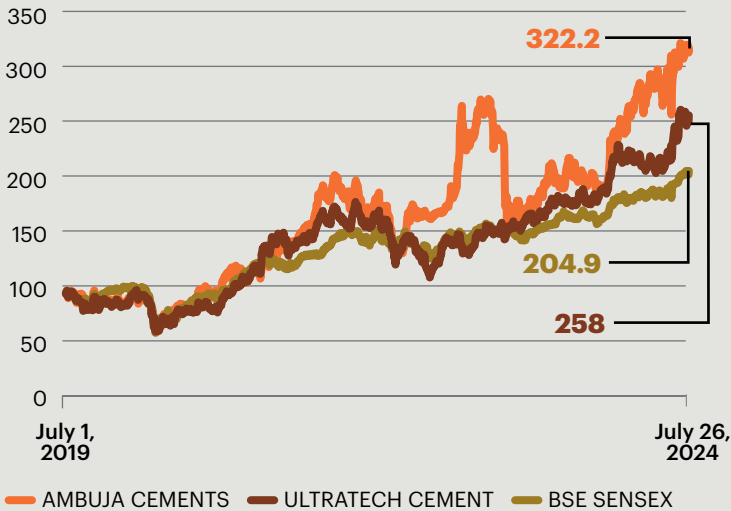
Uttamkumar Srimal, Senior Research Analyst (Cement & Infra) at Axis Securities, says UltraTech is well-positioned from the perspectives of industry consolidation and increasing cement demand. "It is the largest cement producer in India, with an estimated market share of 24-25%. The current capacity expansion will only solidify its position as an industry leader."

UltraTech has been flexible about its growth options. If the earlier buyouts were about complete control, it took a different tack in June by first acquiring a 23% stake in South-based India Cements from DMart Founder Radhakishan Damani at ₹267 per share. Then on July 28, its board approved the purchase of another 32.72% stake from the promoters of India Cements—led by N. Srinivasan—and associate companies at ₹390 per share, taking the total holding to close to 56%. UltraTech will now need to make a 26% mandatory open offer and if that is completely subscribed, it will own 82% in India Cements. The acquisition brings in 14.45 mtpa of capacity to UltraTech, of which 12.95 mtpa is in the South (most of this is in Tamil Nadu) and the balance 1.5 mtpa in Rajasthan.

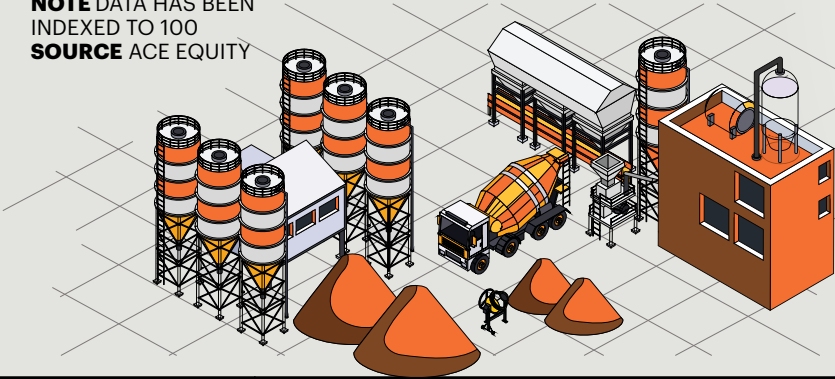
A report by Emkay Global right after the deal was announced said UltraTech is significantly strengthening its position and expects the company to more than double capacity market share in the South

VALUE CREATORS

- These cement stocks have rewarded investors handsomely
- Analysts continue to remain bullish on the sector



NOTE DATA HAS BEEN INDEXED TO 100
SOURCE ACE EQUITY



5

REGIONS
 THE NUMBER OF
 REGIONS THE
 CEMENT MARKET
 IN INDIA IS
 DIVIDED INTO

SOURCE ICRA
 RESEARCH

to around 25% by FY27. "UltraTech's [national] capacity is likely to cross 200 mtpa by FY27 and that will help it achieve industry-leading volume growth, despite its large scale, with lower opex/capex ratios boosting return ratios," the report said.

UltraTech's inherent advantages are not easy to replicate. Centrum's Bhadang identifies scale and a strong brand name as the key ones. "These have helped them to grow even on a high base. UltraTech will continue to be the No. 1 player, and we may see a narrowing gap between them and Ambuja."

The Aditya Birla Group's recent entry into the paints business—from exterior and interior paints to wood finishes—